FP&A CFO Management Pack

FY2024 — US Financial Services Business Unit

Budget vs Actual · Variance Analysis · EBITDA Bridge · FY2025 Outlook

FY Revenue	Total Costs	EBITDA	EBITDA Margin
$151,307k	**$79,990k**	**$71,317k**	**47.1%**
+1.5% vs budget	+3.2% vs budget	-$148k vs budget	-0.9pp compression

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Report Date: January 2025 · Period: FY2024 (Jan – Dec 2024)

1. Executive Summary

FY2024 Financial Performance Overview

✅ Revenue Beat

FY2024 revenue of $151,307k exceeded budget by $2,297k (+1.5%). Digital Payments (+19.4%) and Wealth Management (+8.6%) drove the outperformance, partly offset by Business Lending (-9.2%).

⚠️ Cost Overrun

Total costs of $79,990k were +3.2% over budget. Technology (+13.5%, $1,580k) and Marketing (+11.2%, $520k) were the primary drivers. Personnel costs broadly in line (+1.0%).

📉 Margin Compression

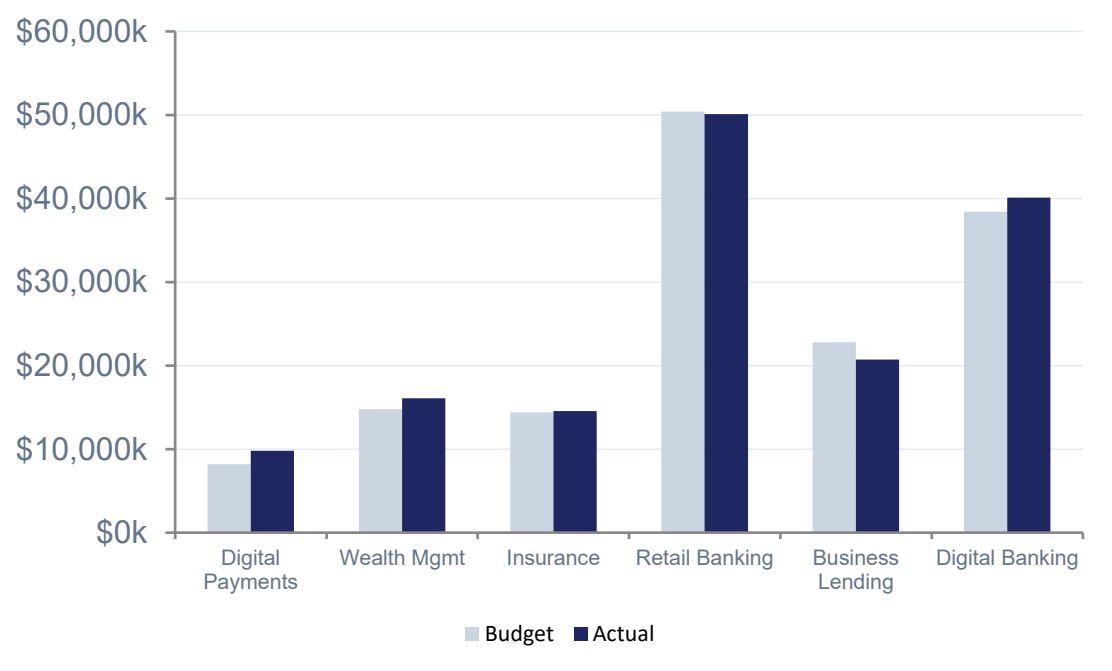
EBITDA of $71,317k was $148k below budget (-0.2%). EBITDA margin compressed 0.9pp from budgeted 48.0% to 47.1% — costs grew faster than revenue throughout H2 2024.

FY2024 P&L Summary

Metric	Budget	Actual	Variance	Status
Revenue	$149,010k	$151,307k	**+$2,297k (+1.5%)**	✅ Beat
Total Costs	$77,545k	$79,990k	**+$2,445k (+3.2%)**	❌ Over Budget
EBITDA	$71,465k	$71,317k	**-$148k (-0.2%)**	🟡 Near Miss

2. Revenue Performance

Product Line Variance Analysis — FY2024



Variance by Product Line

Digital Payments
+$1,593k +19.4%

Wealth Management
+$1,273k +8.6%

Insurance
+$144k +1.0%

Retail Banking
-$304k -0.6%

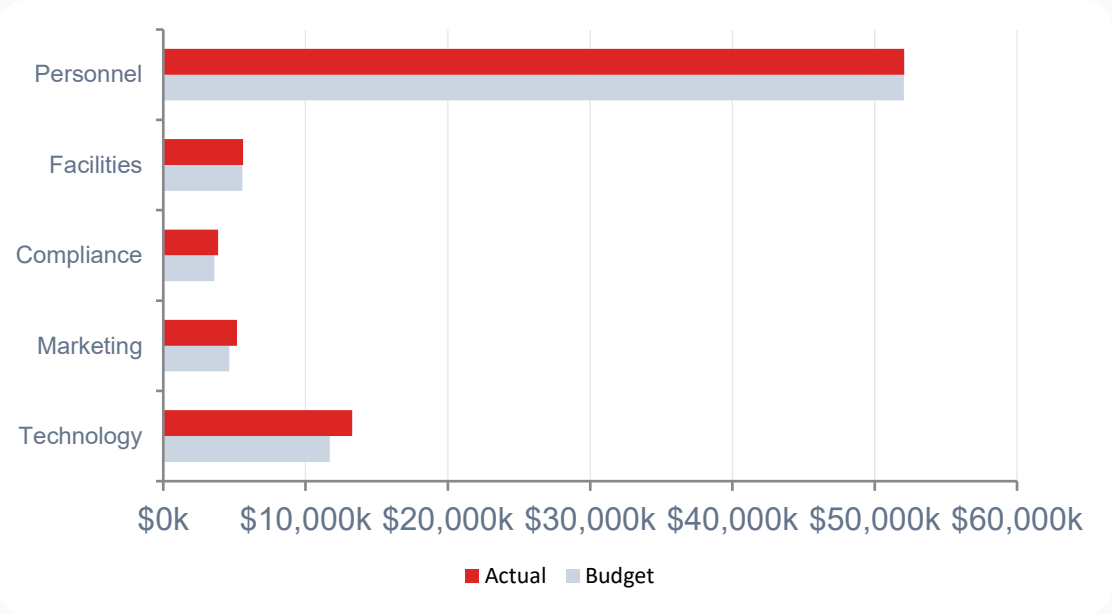
Business Lending
-$2,098k -9.2%

Digital Banking
+$1,699k +4.4%

Key Insight: Digital Payments and Wealth Management together contributed $2,866k above budget, fully absorbing the Business Lending shortfall of $2,098k and delivering a net revenue beat of +$2,297k (+1.5%). Business Lending requires a FY2025 recovery plan — new volume was 18% below plan.

3. Cost Performance

Cost Category Variance Analysis — FY2024



Cost Commentary

Technology +13.5%

Unbudgeted cloud infrastructure & vendor license upgrades in H2. Requires cost governance framework.

Marketing +11.2%

H2 Digital Payments campaign. Commercially justified given product's +19.4% revenue beat.

Compliance +7.3%

Increased FDIC reporting requirements + 3 unbudgeted external reviews. Structural pressure ongoing.

Personnel +1.6%

3 additional headcount in Digital Payments & Wealth Mgmt, offset by delayed Business Lending hires.

4. EBITDA & Margin Analysis

Margin Compression Drivers — FY2024

EBITDA Budget	EBITDA Actual	Margin Budget	Margin Actual
$71,465k	**$71,317k**	**48.0%**	**47.1%**
Baseline target	-$148k vs budget	FY2024 target	-0.9pp compression

EBITDA Bridge — Budget to Actual

Item	Impact ($000s)	Driver
EBITDA Budget	**$71,465k**	Baseline
+ Revenue Beat	+$2,297k	Digital Payments & Wealth Mgmt
– Technology Overrun	-$1,580k	Cloud infra + vendor licenses
– Marketing Overrun	-$520k	Digital Payments campaign H2
– Compliance Overrun	-$262k	FDIC reporting & external reviews
– Other Costs	-$83k	Personnel & Facilities
EBITDA Actual	$71,317k	-$148k vs budget

Margin Analysis

Normalised margin
Excluding unbudgeted Digital Payments campaign spend ($520k) and cloud infrastructure overruns ($1,580k), EBITDA margin would have been ~47.9% — broadly in line with the 48.0% budget.

Key driver
Technology costs are now the second-largest cost category. Without a cost governance framework, margin is at structural risk in FY2025.

Revenue grew +1.5% but costs grew +3.2% — the gap between these two rates is the sole cause of margin compression. Normalised margin was ~47.9%, just 0.1pp below budget.

5. FY2025 Outlook & Risks

Revenue Outlook · Cost Risks · Management Actions

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Revenue Outlook

Digital Payments

Budget 20%+ growth — high confidence on current trajectory

Wealth Management

Budget +6% — more challenging market conditions expected in 2025

Business Lending

Recovery plan required — target return to budget by Q2 2025

Retail Banking

Stable — NIM pressure expected to ease as Fed begins rate cut cycle

Management Actions Required

1

Technology Cost Governance

Implement cloud cost governance framework before FY2025 budget is set. Tech costs grew 13.5% over budget — structural risk if unchecked.

2

Business Lending Recovery Plan

Develop rate repricing strategy and focus on higher-quality SME segment. Target: return to budget by Q2 2025.

3

FDIC Compliance Budget

Recommend +8% increase in compliance budget for FY2025 to reflect structural FDIC reporting expansion.

4

Digital Payments Investment

Approve incremental Technology and Marketing investment for Digital Payments — product is tracking well ahead of long-range plan.

5

FY2025 Margin Target

Maintain 48.0% EBITDA margin target. Without active tech cost management, margin risks compressing to ~46.5% on current trajectories.

FY2024 Summary

US Financial Services Business Unit — Key Takeaways

📈 Revenue beat budget by +1.5% ($2,297k) — Digital Payments (+19.4%) and Wealth Management (+8.6%) drove outperformance

⚠️ Costs grew +3.2% vs budget — Technology (+13.5%) and Marketing (+11.2%) are the primary overrun drivers requiring immediate governance

📉 EBITDA margin compressed 0.9pp to 47.1% — normalised margin of ~47.9% confirms this is a cost management issue, not a revenue problem

🔧 5 management actions identified — technology cost governance and Business Lending recovery plan are the most critical for FY2025

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